

FINANCIAL MANAGEMENT 22MBA22

MEANING

Financial Management means planning, organizing, directing and controlling the financial activities such as procurement and utilization of funds of the enterprise. It means applying general management principles to financial resources of the enterprise.

Scope/Elements of Financial Management

Investment decisions includes investment in fixed assets (called as capital budgeting).

Investment in current assets is also a part of investment decisions called as working capital decisions.

Financial decisions- They relate to the raising of finance from various resources which will depend upon decision on type of source, period of financing, cost of financing and the returns thereby.

Dividend decision- The finance manager has to take decision with regards to the net profit distribution. Net profits are generally divided into two:

Dividend for shareholders- Dividend and the rate of it has to be decided.

Retained profits- Amount of retained profits has to be finalized which will depend upon expansion and diversification plans of the enterprise.

Objectives of Financial Management

The financial management is generally concerned with procurement, allocation and control of financial resources of a concern. The objectives can be-

1. To ensure regular and adequate supply of funds to the concern.
2. To ensure adequate returns to the shareholders which will depend upon the earning capacity, market price of the share, expectations of the shareholders.
3. To ensure optimum funds utilization. Once the funds are procured, they should be utilized in maximum possible way at least cost.
4. To ensure safety on investment, i.e, funds should be invested in safe ventures so that adequate rate of return can be achieved.
5. To plan a sound capital structure-There should be sound and fair composition of capital so that a balance is maintained between debt and equity capital.

Functions of Financial Management

1. **Estimation of capital requirements:** A finance manager has to make estimation with regards to capital requirements of the company. This will depend upon expected costs and profits and future programmes and policies of a concern.

Estimations have to be made in an adequate manner which increases earning capacity of enterprise.

2. **Determination of capital composition:** Once the estimation have been made, the capital structure have to be decided.

This involves short-term and long-term debt equity analysis. This will depend upon the proportion of equity capital a company is possessing and additional funds which have to be raised from outside parties.

3. **Choice of sources of funds:** For additional funds to be procured, a company has many choices like-
 - a. Issue of shares and debentures
 - b. Loans to be taken from banks and financial institutions
 - c. Public deposits to be drawn like in form of bonds.

Choice of factor will depend on relative merits and demerits of each source and period of financing.

4. **Investment of funds:** The finance manager has to decide to allocate funds into profitable ventures so that there is safety on investment and regular returns is possible.
5. **Disposal of surplus:** The net profits decision has to be made by the finance manager. This can be done in two ways:
 - a. Dividend declaration - It includes identifying the rate of dividends and other benefits like bonus.
 - b. Retained profits - The volume has to be decided which will depend upon expansional, innovational, diversification plans of the company.
6. **Management of cash:** Finance manager has to make decisions with regards to cash management.

Cash is required for many purposes like payment of wages and salaries, payment of electricity and water bills, payment to creditors, meeting current liabilities, maintainance of enough stock, purchase of raw materials, etc.

7. **Financial controls:** The finance manager has not only to plan, procure and utilize the funds but he also has to exercise control over finances.

This can be done through many techniques like ratio analysis, financial forecasting, cost and profit control, etc.

COMPONENTS/ CONSTITUENTS OF INDIAN FINANCIAL SYSTEM

The following are the four major components that comprise the Indian Financial System:

1. Financial Institutions
2. Financial Markets
3. Financial Instruments/ Assets/ Securities
4. Financial Services.

FINANCIAL MARKET

It is through financial markets and institutions that the financial system of an economic works. Financial markets refer to the institutional arrangements for dealing in financial assets and credit instruments of different types such as currency, cheques, bank deposits, bills, bonds etc.

Functions of financial markets are:

- (i) To facilitate creation and allocation of credit and liquidity
- (ii) To serve as intermediaries for mobilisation of savings.
- (iii) To assist the process of balanced economic growth.
- (iv) To provide financial convenience.
- (v) To cater to the various credit needs of the business houses. These organised markets can be further classified into two they are

- (i) Capital Market
- (ii) Money Market

CAPITAL MARKET

The capital market is a market for financial assets which have a long or indefinite maturity. Generally, it deals with long term securities which have a maturity period of above one year. Capital market may be further divided into three namely:

- (I) Industrial securities market

(II) Government securities market and

(III) Long term loans market

1. INDUSTRIAL SECURITIES MARKET:

As the very name implies, it is a market for industrial securities namely:

(i) Equity shares or ordinary shares,

(ii) Preference shares and

(iii) Debentures or bonds.

It is a market where industrial concerns raise their capital or debt by issuing appropriate instruments. It can be further subdivided into two. They are:

- (i) Primary market or New issue market
- (ii) Secondary market or Stock exchange

Primary Market

Primary market is a market for new issues or new financial claims. Hence, it is also called New Issue market. The primary market deals with those securities which are issued to the public for the first time. In the primary market, borrowers exchange new financial securities for long term funds. Thus, primary market facilitates capital formation. There are three ways by which a company may raise capital in a primary market. They are:

- (i) Public issue
- (ii) Rights issue
- (iii) Private placement

The most common method of raising capital by new companies is through sale of securities to the public. It is called **public issue**. When an existing company wants to raise additional capital, securities are first offered to the existing shareholders on a pre-emptive basis. It is called **rights issue**. **Private placement** is a way of selling securities privately to a small group of investors.

Secondary Market

Secondary market is a market for secondary sale of securities. In other words, securities which have already passed through the new issue market are traded in this market. Generally, such securities are quoted the Stock Exchange and it provides a continuous and regular market to buying and selling of securities. This market consists of all stock exchanges recognised by the Government of India. The stock exchanges in India are regulated under the Securities Contracts (Regulation) Act 1956. The Bombay Stock

Exchange is the principal stock exchange in India which sets the tone of the other stock markets.

FINANCIAL INSTRUMENTS

Financial instruments refer to those documents which represent financial claims on assets. As discussed earlier, financial asset refers to a claim to the repayment of a certain sum of money at the end of a specified period together with interest or dividend. Examples: Bill of exchange, Promissory Note, Treasury Bill.

Financial securities can be classified into:

- (i) Primary or direct securities.
- (ii) Secondary or indirect securities.

Primary Securities

These are securities directly issued by the ultimate investors to the ultimate savers. Eg. shares and debentures issued directly to the public.

Secondary Securities

These are securities issued by some intermediaries called financial intermediaries to the ultimate savers. Eg. Unit Trust of India and mutual funds issue securities in the form of units to the public and the money pooled is invested in companies.

Again these securities may be classified on the basis of duration as follows:

- (i) Short - term securities
- (ii) Medium term securities
- (iii) Long - term securities.

Short - term securities are those which mature within a period of one year. Eg, Bill of Exchange, Treasury bill, etc. **Medium term securities** are those which have a maturity period ranging between one and five years. Eg. Debentures maturing within a period of 5 years, **Long - term securities** are those which have a maturity period of more than five years. Eg, Government Bonds maturing after 10 years.

FINANCIAL SERVICES

Efficiency of emerging financial system largely depends upon the quality and variety of financial services provided by financial intermediaries. The term financial services can be defined as “activities, benefits, and satisfactions, connected with the sale of money, that offer to users and customers, financial related value. within the financial services industry the main sectors are banks, financial institutions, and non-banking financial companies.

KINDS OF FINANCIAL SERVICES

Financial services provided by various financial institutions, commercial banks and merchant bankers can be broadly classified into two categories.

1. Asset based/fund based services.
2. Fee based/advisory services.

Asset based/fund based services

The asset/ fund based services provided by banking and non - banking financial institutions as discussed below briefly.

1. Equipment Leasing/ Lease Financing

Leasing is a arrangement that provides a firm with the use and control over assets without buying and owning the same. It is a form of renting assets. However, in making an investment, the firm need not own the asset. It is basically interested in acquiring the use of the asset. Thus, the firm may consider leasing of the asset rather than buying it.

In comparing leasing with buying, the cost of leasing the asset should be compared with the cost of financing the asset through normal sources of financing, i. e. debt and equity. Since payment of lease rentals is similar to payment of interest on borrowings and lease financing is equivalent to debt.

2. Hire Purchase and Consumer Credit

Hire purchase means a transaction where goods are purchased and sold on the terms that (i) payment will be made in installments, (ii) the possession of the goods is given to the buyer immediately, (iii) the property ownership in the goods remains with the vendor till the last installment is paid, (iv) the seller can repossess the goods in case of default in payment of any instalment, and (v) each instalment is treated as hire charges till the last instalment is paid.

Consumer credit includes all asset based financing plans offered to individuals to help them acquire durable consumer goods. In a consumer credit transaction the individual/ consumer/ buyer pays a part of the cash purchase price at the time of the delivery of the asset and pays the balance with interest over a specified period of time.

3. VENTURE CAPITAL

In the real sense, venture capital financing is one of the most recent entrants in the Indian capital market. There is a significant scope for venture capital companies in our country because of increasing emergence of technocrat entrepreneurs who lack capital to be risked. These **venture capital** companies provide the necessary risk capital to the entrepreneurs so as to meet the promoters contribution as required by the financial institutions. In addition to providing capital, these VCFS (venture capital firms) take an active interest in guiding the assisted firms.

4. Insurance Services

Insurance is a contract where by the insurer e. insurance company agrees/ undertakes, in consideration of a sum of money (premium) to make good the loss suffered by the insured (policy holder) against a specified risk such as fire or compensate the beneficiaries (insured) on the happening of a specified event such as accident or death. The document containing the terms of contract, in black and white, between the insurer and the insured is called policy. The property which is insured is the subject matter of insurance. The interest which the insured has in the subject matter of insurance is known as insurable interest. Depending upon the subject matter, insurance services are divided into (i) life (ii) general.

5. Factoring

Factoring, as a fund based financial service provides resources to finance receivables as well as it facilitates the collection of receivables. It is another method of raising short - term finance through account receivable credit offered by commercial banks and factors.

A commercial bank may provide finance by discounting the bills or invoices of its customers. Thus, a firm gets immediate payment for sales made on credit. A factor is a financial institution which offers services relating to management and financing of debts arising out of credit sales.

B. FEE BASED ADVISORY SERVICES

(i) Merchant Banking

Fee based advisory services includes all these financial services rendered by Merchant Bankers. Merchant bankers play an important role in the financial services Sector. The Industrial Credit and Investment Corporation of India (ICICI) was the first development finance institution to initiate such service in 1974. After mid - seventies, tremendous growth in the number of merchant banking organisations has taken place. These include banks financial institutions, **non - banking financial companies (NBFCs)**, brokers and so on. financial Services provided by these organisations include loan syndication portfolio management, corporate counselling project counselling debenture trusteeship, mergers acquisitions.

(ii) Credit Rating

Credit rating is the opinion of the rating agency on the relative ability and willingness of the issuer of debt instrument to meet the debt service obligations as and when they arise. As a fee based financial advisory service, credit rating is useful to investors, corporates (borrowers), banks and financial institutions. For the investors, it is an indicator expressing the underlying credit quality of a (debt) issue programme. The investor is fully informed about the company as any effect of changes in business/ economic conditions on the agency company is evaluated and published regularly by the rating agency.

(iii) Stock - Broking

Prior to the setting up of SEBI, stock exchanges were being supervised by the Ministry of Finance under the Securities Contracts Regulation Act (SCRA) and were operating more or

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less self-regulatory organizations. The need to reform stock exchanges was felt, when malpractices crept into Trading and in order to protect investor's interests, SEBI was set up to ensure that stock exchange perform their self - regulatory role properly. Since then, stock broking has emerged as a professional advisory service Stockbroker is a member of a recognised stock exchange who buys, sells or deals in shares/ securities. It is mandatory for each stockbroker to get him/ herself registered with SEBI order to act as a broker. SEBI is empowered to impose conditions while granting the certificate of registration.

NON - BANKING INSTITUTIONS

The non - banking institutions may be categorized broadly into twogroups:

- (a) Organised Non - Banking Financial Institutions.
- (b) Unorganized Non - Banking Financial Institutions.

(a) Organized Non - Banking Financial Institutions

The organised non - banking financial institutions include:

1. Development Finance Institutions.

These include: The institutions like IDBT, ICICI, IFCI, IIBI, IRDC at all India level.

The State Finance Corporations (SFCs), State Industrial Development Corporations (SIDCs) at the state level.

Agriculture Development Finance Institutions as NABARD,LDBS etc. Development banks provide medium and long term finance to the corporate and industrial sector and also take up promotional activities for economic development

2. Investment Institutions.

These include those financial institutions which mobilise savings at the public at large through various schemes and invest these funds in corporate and government securities.

These include LIC, GIC, LTT, and mutual funds.The non - banking financial institutions in the organised sector) have been discussed at length in detail in separate chapters of this book.

(b) Unorganised Non - Banking Financial Institutions The unorganised non - banking financial institutions include number of non - banking financial

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companies (NBFCs) providing whole range of financial services. These include hire - purchase 300 consumer finance companies, leasing companies, housing finance companies, factoring companies, Credit rating agencies, merchant banking companies etc. NBFCs mobilize public funds and provide loan able funds.

II. GOVERNMENT SECURITIES MARKET

It is otherwise called Gilt - Edged securities market. It is a market where Government securities are traded. In India there are many kinds of Government Securities - short term and long term. Long term securities are traded in this market while short term securities are traded in the money market. Securities issued by the Central Government, State Governments, Semi Government authorities like City Corporations, Port Trusts etc. Improvement Trusts, State Electricity Boards, All India and State level financial institutions and public sector enterprises are dealt in this market.

III. LONG TERM LOANS MARKET

Development banks and commercial banks play a significant role in this market by supplying long term loans to corporate customers.

Long term loans market may further be classified into:

- (1) Term loans market
- (ii) Mortgages market
- (iii) Financial Guarantees market.

Term Loans Market

In India, many industrial financing institutions have been created by the Government both at the national and regional levels to supply long term and medium term loans to corporate customers directly as well as indirectly. These development banks dominate the industrial finance in India. Institutions like IDBI, IFCI, ICICI, and other financial corporations come under this category.

Mortgages Market

A mortgage loan is a loan against the security of immovable property like real estate. The transfer of interest in a specific immovable property to secure a loan is called mortgage. This mortgage may be equitable mortgage or legal one.

EMERGING AREAS IN FINANCIAL MANAGEMENT

RISK MANAGEMENT

Risk management encompasses the identification, analysis, and response to risk factors that form part of the life of a business. Effective risk management means attempting to control, as much as possible, future outcomes by acting proactively rather than reactively. Therefore, effective risk management offers the potential to reduce both the possibility of a risk occurring and its potential impact.

RISK MANAGEMENT PROCESS



Behavioral Finance

Behavioral finance is the study of psychological influences on investors and financial markets. At its core, behavioral finance is about identifying and explaining inefficiency and mispricing in financial markets. It uses experiments and research to demonstrate that humans and financial markets are not always rational, and the decisions they make are often flawed. If you are wondering how emotions and biases drive share prices, behavioral finance offers answers and explanations.

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Investor Behavior

Overconfidence, excessive optimism, self-attribution bias, framing bias, and loss aversion often lead investors astray. All of these factors lead to irrational rather than well-considered investments.

Trading Psychology

Trading psychology refers to the mental state and emotions of a trader that determines the success or failure of a trade. Assumption heuristics, such as making a decision based on one positive result, anchoring bias, loss aversion, and confirmation bias can yield less than desirable investment or financial outcomes.

Market Psychology

Human economic and financial heuristics and biases affect economic markets, the odd mix of collective and independent decisions of millions of people, acting for themselves and on behalf

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of funds or companies. As a result, many markets are not successful for many years.

Understanding what causes the anomalies in valuations of individual securities and the stock market can result in better market performance.

Cognitive Errors

Suboptimal financial decision-making is the result of cognitive errors, many of which are made because of heuristics and anchoring, self-attribution, and framing biases. Exploring neuroscience discoveries and the implications for financial decision-making under uncertainty can result in sounder strategies for client debiasing and financial management.

Emotional Reasoning

Many investors believe that their heuristics and biases are examples of sound, scientific reasoning and therefore should be used for investment decisions. They are surprised to learn that they are emotional, not logical.

FINANCIAL ENGINEERING

Financial engineering is the use of mathematical techniques to solve financial problems. Financial engineering uses tools and knowledge from the fields of computer science, statistics, economics, and applied mathematics to address current financial issues as well as to devise new and innovative financial products.

Derivatives Trading

While financial engineering uses stochastic, simulations and analytics to design and implement new financial processes to solve problems in finance, the field also creates new strategies that companies can take advantage of to maximize corporate profits. For example, financial engineering has led to the explosion of derivative trading in the financial markets.

Speculation

The field of financial engineering has also introduced speculative vehicles in the markets. For example, instruments such as the Credit Default Swap (CDS) were initially created in the late 90s to provide insurance against defaults on bond payments, such as municipal bonds.

However, these derivative products drew the attention of investment banks and speculators

who realized they could make money from the monthly premium payments associated with CDS by betting with them.

DERIVATIVES

What Is a Derivative?

The term derivative refers to a type of financial contract whose value is dependent on an underlying asset, group of assets, or benchmark. A derivative is set between two or more parties that can trade on an exchange or over-the-counter (OTC).

Futures

A futures contract, or simply futures, is an agreement between two parties for the purchase and delivery of an asset at an agreed-upon price at a future date. Futures are standardized contracts that trade on an exchange.

Forwards

[Forward contracts](#), or forwards, are similar to futures, but they do not trade on an exchange. These contracts only trade over-the-counter. When a forward contract is created, the buyer and seller may customize the terms, size, and settlement process. As OTC products, forward contracts carry a greater degree of counterparty risk for both parties.

Swaps

Swaps are another common type of derivative, often used to exchange one kind of cash flow with another. For example, a trader might use an interest rate swap to switch from a variable interest rate loan to a fixed interest rate loan, or vice versa.

Options

An options contract is similar to a futures contract in that it is an agreement between two parties to buy or sell an asset at a predetermined future date for a specific price.

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